PRESENTATION AND DISCLOSURE

Learning Outcome

- analyze disclosures relating to deferred tax items and the effective tax rate reconciliation and explain how information included in these disclosures affects a company's financial statements and financial ratios

The Consolidated Statements of Operations (Income Statements) and Consolidated Balance Sheets for Micron Technology (MU), a global technology company based in the US, are provided in Exhibit 18 and Exhibit 19, respectively. Exhibit 18 provides the income tax note disclosures for MU for the 2015, 2016, and 2017 fiscal years.

MU's income tax provision (i.e., income tax expense) for fiscal year 2017 is USD114 million (see Exhibit 18). The income tax note disclosure in Exhibit 20 reconciles how the income tax provision was determined beginning with MU's reported income before taxes (shown in Exhibit 20 as USD5,196 million for fiscal year 2017). The note disclosure then denotes the income tax provision for 2017 that is current (USD153 million), which is then offset by the deferred tax benefit for foreign taxes (USD39 million), for a net income tax provision of USD114 million. Exhibit 20 further shows a reconciliation of how the income tax provision was derived from the US federal statutory rate. Many public companies comply with this required disclosure by displaying the information in percentage terms, but MU has elected to provide the disclosure in absolute dollar amounts. From this knowledge, for 2017, we can see that the dollar amount shown for US federal income tax provision at the statutory rate (USD1,819 million) was determined by multiplying MU's income before taxes by the 35 percent US federal statutory rate (USD5,196 × 0.35 = USD1,819).

In addition, the note disclosure in Exhibit 20 provides detailed information about the derivation of the deferred tax assets (USD766 million for 2017) and deferred tax liabilities (USD17 million for 2017). These deferred tax assets are shown separately on MU's consolidated balance sheet for fiscal year 2017 with noncurrent assets (see Exhibit 19), while the deferred tax liabilities are included in other noncurrent liabilities (also see Exhibit 19).

Exhibit 18:

Micron Technology, Inc. Consolidated Statements of Operations (US dollar millions, except per share)

For the Year Ended	31 Aug. 2017	1 Sept. 2016	3 Sept. 2015
Net sales	20,322	USD12,399	USD16,192
Cost of goods sold	11,886	9,894	10,977
Gross margin	8,436	2,505	5,215
Selling, general and administrative	743	659	719
Research and development	1,824	1,617	1,540
Restructure and asset impairments	18	67	3
Other operating (income) expense, net	(17)	(6)	(45)
Operating income	5,868	168	2,998
Interest income (expense), net	(560)	(395)	(336)
Other non-operating income (expense), net	(112)	(54)	(53)
Income tax (provision) benefit	(114)	(19)	(157)

Net income (loss) attributable to noncontrolling interests	(1)	(1)	—
Net income (loss) attributable to Micron	USD5,089	USD(276)	USD2,899
Earnings (loss) per share:			
Basic	USD4.67	USD(0.27)	USD2.71
Diluted	USD4.41	USD(0.27)	USD2.47
Number of shares used in per share calculations:			
Basic	1,089	1,036	1,070
Diluted	1,154	1,036	1,170

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Exhibit 19:

Micron Technology, Inc. Consolidated Balance Sheets (US dollar millions)

As of	31 Aug. 2017	1 Sept. 2016
Assets		
Cash and equivalents	USD5,109	USD4,140
Short-term investments	319	258
Receivables	3,759	2,068
Inventories	3,123	2,889
Other current assets	147	140
Total current assets	12,457	9,495
Long-term marketable investments	617	414
Property, plant and equipment, net	19,431	14,686
Equity method investments	16	1,364
Intangible assets, net	387	464
Deferred tax assets	766	657
Other noncurrent assets	1,662	460
Total assets	USD35,336	USD27,540
Liabilities and shareholders' equity		
Accounts payable and accrued expenses	USD3,664	USD3,879
Deferred income	408	200
Current debt	1,262	756
Total current liabilities	5,334	4,835
Long-term debt	9,872	9,154
Other noncurrent liabilities	639	623
Total liabilities	15,845	14,612
Redeemable convertible notes	21	—
Micron shareholder's equity		
Common stock of USD0.10 par value, 3,000 shares authorized, 1,116 shares issued and 1,112 shares outstanding (1,094 issued and 1,040 outstanding as of September 1, 2016)	112	109
Additional capital	8,287	7,736
Retained earnings	10,260	5,299
Treasury stock, 4 shares held (54 as of 1 September 2016)	(67)	(1,029)
Accumulated other comprehensive income (loss)	29	(35)
Total Micron shareholders' equity	18,621	12,080
Noncontrolling interests in subsidiaries	849	848
Total equity	19,470	12,928

Exhibit 20:

Micron Technology, Inc. Income Taxes Note to the Consolidated Financial Statements

Income (loss) before taxes and the income tax (provision) benefit consisted of the following:

(USD millions)	2017	2016	2015
Income (loss) before income taxes, net income (loss) attributable to noncontrolling interests, and equity in net income (loss) of equity method investees			
Foreign	USD5,252	(USD353)	USD2,431
US	(56)	72	178
	USD5,196	(USD281)	USD2,609
Income tax (provision) benefit:			
Current:			
Foreign	(USD152)	(USD27)	(USD93)
State	(1)	(1)	(1)
US federal	—	—	6
	(153)	(28)	(88)
Deferred:			
US federal	—	39	15
State	—	2	1
Foreign	39	(32)	(85)
	39	9	(69)
Income tax (provision)	(USD114)	(USD19)	(USD157)

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The company's income tax (provision) computed using the US federal statutory rate and the company's income tax (provision) benefit is reconciled as shown in Exhibit 21:

Exhibit 21: Company Income Tax (US dollar millions)

	2017	2016	2015
US federal income tax (provision) benefit at statutory rate	(USD1,819)	USD98	(USD913)
Foreign tax rate differential	1,571	(300)	515
Change in valuation allowance	64	63	260
Change in unrecognized tax benefits	12	52	(118)
Tax credits	66	48	53
Noncontrolling investment transactions	—	—	57
Other	(8)	20	(11)
Income tax (provision) benefit	(114)	(USD19)	(USD157)

State taxes reflect investment tax credits of USD233 million at 31 August 2017. Deferred income taxes reflect the net tax effects of temporary differences between the bases of assets and liabilities for financial reporting and income tax purposes. The company's deferred tax assets and liabilities consist of the following as of the end of the periods shown in Exhibit 22:

	2017	2016
Deferred tax assets:		
Net operating loss and tax credit carryforwards	USD3,426	USD3,014
Accrued salaries, wages, and benefits	211	142
Other accrued liabilities	59	76
Other	86	65
Gross deferred assets	3,782	3,297
Less valuation allowance	(2,321)	(2,107)
Deferred tax assets, net of valuation allowance	1,461	1,190
Deferred tax liabilities:		
Debt discount	(145)	(170)
Property, plant, and equipment	(300)	(135)
Unremitted earnings on certain subsidiaries	(123)	(121)
Product and process technology	(85)	(81)
Other	(59)	(28)
Deferred tax liabilities	(712)	(535)
Net deferred tax assets	USD749	USD655
Reported as:		
Current deferred tax assets (included in other current assets)	USD—	USD—
Deferred tax assets	766	657
Current deferred tax liabilities (included in accounts payable and accrued expenses)	—	—
Deferred tax liabilities (included in other noncurrent liabilities)	(17)	(2)
Net deferred tax assets	USD749	USD655

The company has a valuation allowance against substantially all of its US net deferred tax assets. As of 31 August 2017, the company had aggregate US tax net operating loss carryforwards of USD3.88 billion and unused US tax credit carryforwards of USD416 million. The company also has unused state tax net operating loss carryforwards of USD1.95 billion and unused state tax credits of USD233 million. The net operating loss carryforwards and the tax credit carryforwards expire between 2018 to 2037.

The changes in valuation allowance of USD64 million and USD63 million in 2017 and 2016, respectively, are primarily a result of uncertainties of realizing certain US and foreign net operating losses and certain tax credit carryforwards.

Provision has been made for deferred taxes on undistributed earnings of non-US subsidiaries to the extent that dividend payments from such companies are expected to result in additional tax liability. Remaining undistributed earnings of USD12.91 billion as of 31 August 2017 have been indefinitely reinvested. Determination of the amount of unrecognized deferred tax liability on these unremitted earnings is not practicable.

EXAMPLE 6

Financial Analysis

Use the financial statement information and disclosures provided by MU in Exhibit 18–Exhibit 20 to answer the following questions:

1. MU discloses a valuation allowance of USD2,321 million (see Exhibit 20) against gross deferred assets of USD3,782 million in 2017. Does the existence of this valuation allowance have any implications concerning MU's future earnings prospects?

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(2018 to 2037 for the net operating loss carryforwards and the tax credit carryforwards).

Because the company is still relatively young, it is likely that most of these expirations occur toward the end of that period. Because cumulative US tax net operating loss carryforwards total USD3.88 billion, the valuation allowance could imply that MU is not reasonably expected to earn USD3.88 billion over the next 20 years. However, as we can see in Exhibit 18, MU earned a profit for 2017 and 2015, thereby showing that the allowance could be adjusted downward if the company continues to generate profits in the future and making it more likely than not that the deferred tax asset would be recognized.

2. How would MU's deferred tax assets and deferred tax liabilities be affected if the federal statutory tax rate was changed to 21 percent?

Hide Solution

Solution:

MU's total deferred tax assets exceed total deferred tax liabilities by USD749 million. A change in the federal statutory tax rate to 21 percent from the current rate of 35 percent would make these net deferred assets less valuable. Also, because it is possible that the deferred tax asset valuation allowance could be adjusted downward in the future (see discussion to solution 1), the impact could be far greater in magnitude.

3. How would reported earnings have been affected if MU were not using a valuation allowance?

Hide Solution

Solution:

The disclosure in Exhibit 20 shows that the increase in the valuation allowance increased the income tax provision as reported on the income statement by USD64 million in 2017. Additional potential reductions in the valuation allowance could similarly reduce reported income taxes (actual income taxes would not be affected by a valuation allowance established for financial reporting) in future years (see discussion to solution 1).

4. How would MU's USD3.88 billion in net operating loss carryforwards in 2017 (see Exhibit 20) affect the valuation that an acquiring company would be willing to offer?

Hide Solution

Solution:

If an acquiring company is profitable, it may be able to use MU's tax loss carryforwards to offset its own tax liabilities. The value to an acquirer would be the present value of the carryforwards, based on the acquirer's tax rate and expected timing of realization. The higher the acquiring company's tax rate, and the more profitable the acquirer, the sooner it would be able to benefit. Therefore, an acquirer with a high current tax rate would theoretically be willing to pay more than an acquirer with a lower tax rate.

5. Under what circumstances should the analyst consider MU's deferred tax liability as debt or as equity? Under what circumstances should the analyst exclude MU's deferred tax liability from both debt and equity when calculating the debt-to-equity ratio?

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expected to reverse with subsequent tax payment. If the liability is not expected to reverse, there is no expectation of a cash outflow and the liability should be treated as equity. By way of example, future company losses may preclude the payment of any income taxes, or changes in tax laws could result in taxes that are never paid. The deferred tax liability should be excluded from both debt and equity when both the amounts and timing of tax payments resulting from the reversals of temporary differences are uncertain.

Question Set

1. Deferred tax liabilities should be treated as equity when:

A. they are not expected to reverse.
B. the timing of tax payments is uncertain.
C. the amount of tax payments is uncertain.

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Solution:

A is correct. If the liability will not reverse, there will be no required tax payment in the future and the "liability" should be treated as equity.

2. When both the timing and amount of tax payments are uncertain, analysts should treat deferred tax liabilities as:

A. equity.
B. liabilities.
C. neither liabilities nor equity.

Hide Solution

Solution:

C is correct. The deferred tax liability should be excluded from both debt and equity when both the amounts and timing of tax payments resulting from the reversals of temporary differences are uncertain.

Note I: Income Taxes

The components of earnings before income taxes are shown in Exhibit 23:

Exhibit 23: Earnings before Income Taxes (US dollar thousands)

	Year 3	Year 2	Year 1
Earnings before income taxes:			
United States	USD88,157	USD75,658	USD59,973
Foreign	116,704	113,509	94,760
Total	USD204,861	USD189,167	USD154,733

The components of the provision for income taxes are shown in Exhibit 24:

Exhibit 24: Provision for Income Taxes (US dollar thousands)

Current:			
Federal	USD30,632	USD22,031	USD18,959
Foreign	28,140	27,961	22,263
	USD58,772	USD49,992	USD41,222
Deferred:			
Federal	(USD4,752)	USD5,138	USD2,336
Foreign	124	1,730	621
	(4,628)	6,868	2,957
Total	USD54,144	USD56,860	USD44,179

3. In Year 3, the company's US GAAP income statement recorded a provision for income taxes *closest* to:

A. USD30,632.
B. USD54,144.
C. USD58,772.

Hide Solution

Solution:

B is correct. The income tax provision in Year 3 was USD54,144, consisting of USD58,772 in current income taxes, of which USD4,628 were deferred.

4. The company's effective tax rate was *highest* in:

A. Year 1.
B. Year 2.
C. Year 3.

Hide Solution

Solution:

B is correct. The effective tax rate of 30.1 percent (USD56,860/USD189,167) was higher than the effective rates in Year 1 and Year 3.

5. Relative to the company's effective tax rate on US income, the company's effective tax rate on foreign income was:

A. lower in each year presented.
B. higher in each year presented.
C. higher in some periods and lower in others.

Hide Solution

Solution:

A is correct. In Year 3 the effective tax rate on foreign operations was 24.2 percent [(USD28,140 + USD124)/USD116,704], and the effective US tax rate was [(USD30,632 − USD4,752)/USD88,157] = 29.4 percent. In Year 2 the effective tax rate on foreign operations was 26.2 percent, and the US rate was 35.9 percent. In Year 1 the foreign rate was 24.1 percent, and the US rate was 35.5 percent.

A company's provision for income taxes resulted in effective tax rates attributable to loss from continuing operations before cumulative effect of change in accounting principles that varied from the statutory federal income tax rate of 34 percent, as summarized in Exhibit 25.

Exhibit 25: Effective Tax Rates

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34 percent			
Expenses not deductible for income tax purposes	357,000	32,000	51,000
State income taxes, net of federal benefit	132,000	22,000	100,000
Change in valuation allowance for deferred tax assets	(150,000)	(766,000)	(754,000)
Income tax expense	USD227,000	USD56,000	USD82,000

6. In Year 3, the company's net income (loss) was *closest* to:

A. (USD217,000).
B. (USD329,000).
C. (USD556,000).

Hide Solution

Solution:

C is correct. The income tax provision at the statutory rate of 34 percent is a benefit of USD112,000, suggesting that the pre-tax income was a loss of USD112,000/0.34 = (USD329,412). The income tax provision was USD227,000. (USD329,412) − USD227,000 = (USD556,412).

7. The USD357,000 adjustment in Year 3 *most likely* resulted in:

A. an increase in deferred tax assets.
B. an increase in deferred tax liabilities.
C. no change to deferred tax assets and liabilities.

Hide Solution

Solution:

C is correct. Accounting expenses that are not deductible for tax purposes result in a permanent difference, and thus do not give rise to deferred taxes.

8. Over the three years presented, changes in the valuation allowance for deferred tax assets were *most likely* indicative of:

A. decreased prospect for future profitability.
B. increased prospects for future profitability.
C. assets being carried at a higher value than their tax base.

Hide Solution

Solution:

B is correct. Over the three-year period, changes in the valuation allowance reduced cumulative income taxes by USD1,670,000. The reductions to the valuation allowance were a result of the company being "more likely than not" to earn sufficient taxable income to offset the deferred tax assets.

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